

SOLSTICE ROBOTICS, INC.

FORM 10-K

Fiscal Year Ended December 31, 2023

Ticker: SOLR

ITEM 1. BUSINESS

Solstice Robotics, Inc. ("Solstice", "the Company", "we", "us") designs, manufactures, and sells industrial robotic arms and automation systems for manufacturing, logistics, and warehousing customers. Our products are sold in North America, Europe, and Asia-Pacific. As of fiscal year end 2023, the Company employed approximately 4,200 people across six manufacturing facilities.

ITEM 1A. RISK FACTORS

The following risk factors describe the most significant risks to our business, financial condition, and results of operations as of fiscal 2023.

1. Supply Chain and Component Sourcing Risk (Category: Operational, Severity: Medium)

We rely on a limited number of suppliers for precision actuators and semiconductor components used in our robotic systems. Disruptions to these supply relationships, including factory shutdowns or shipping delays, could delay production schedules and increase our manufacturing costs.

2. Customer Concentration Risk (Category: Operational, Severity: Medium)

Our three largest customers accounted for approximately 38% of total revenue in fiscal 2023. The loss of, or a significant reduction in orders from, any of these customers could materially affect our results of operations.

3. Competition from Low-Cost Manufacturers Risk (Category: Competitive, Severity: Medium)

We face increasing competition from manufacturers based in lower-cost regions that may offer automation solutions with comparable functionality at reduced prices, which could pressure our pricing and market share.

4. Foreign Currency Exchange Rate Risk (Category: Financial, Severity: Low)

Approximately 30% of our revenue is denominated in currencies other than the U.S. dollar, primarily the Euro and Japanese Yen, exposing us to exchange rate fluctuations that could affect our reported results.

5. Cybersecurity and Data Protection Risk (Category: Technology, Severity: Medium)

Our manufacturing execution systems and customer data are subject to cybersecurity threats. A successful attack could disrupt our operations, damage our reputation, or compromise sensitive customer information.

ITEM 7. MANAGEMENT'S DISCUSSION AND ANALYSIS OF FINANCIAL CONDITION AND RESULTS OF OPERATIONS

Overview

Fiscal 2023 was a year of solid execution for Solstice Robotics. We delivered double-digit revenue growth driven by strong demand for our next-generation robotic arm platform across the automotive and e-commerce logistics sectors. We are confident in the durability of this demand and remain optimistic about our growth trajectory heading into fiscal 2024.

Results of Operations

Total revenue for fiscal 2023 was \$1,240.5 million, compared to \$1,096.0 million in fiscal 2022. Gross profit was \$620.3 million, representing a gross margin of approximately 50.0%. Operating income was \$186.1 million, representing an operating margin of approximately 15.0%. EBITDA for fiscal 2023 was \$260.5 million, representing an EBITDA margin of approximately 21.0%. Net income was \$130.3 million, representing a net margin of approximately 10.5%.

Liquidity and Capital Resources

Net cash provided by operating activities was \$215.4 million for fiscal 2023. Capital expenditures were \$95.2 million, resulting in free cash flow of \$120.2 million. Total debt outstanding at year end was \$450.0 million, and cash and cash equivalents were \$310.6 million.

Forward Guidance

For fiscal year 2024, we expect total revenue in the range of \$1,330 million to \$1,370 million, and diluted earnings per share in the range of \$2.10 to \$2.25. We expect continued margin expansion driven by manufacturing efficiencies and a favorable product mix.

ITEM 8. FINANCIAL STATEMENTS (SUMMARY)

Income Statement (USD millions)

Revenue: 1,240.5

Gross Profit: 620.3

Operating Income: 186.1

EBITDA: 260.5

Net Income: 130.3

Cash Flow Statement (USD millions)

Operating Cash Flow: 215.4

Capital Expenditures: 95.2

Free Cash Flow: 120.2

Balance Sheet (USD millions)

Total Debt: 450.0

Cash and Cash Equivalents: 310.6